TOPIC 3 · ECONOMIC ISSUES

Sources: ABC News, Reuters (via Business Standard), AIP
Wednesday 11 November 2026

Oil's slide starts to reach the bowser, slowly

> Brent crude fell about **16%** last week, its steepest weekly drop since COVID hit, after Trump signalled a pause in strikes on Iran. Australian petrol prices are only starting to follow.

WHAT HAPPENED

- Brent was about **US$93** a barrel on 10 November, down from **US$111.9** a week earlier and well below its 30 October high of US$118.
- **Supply side:** OPEC output rose 1.38 million barrels a day in October (Reuters survey), and JPMorgan estimates a market surplus of about 1.4m bpd.
- Risks remain: the US blockade in the **Strait of Hormuz** continues, and an expert says prices in the US$90s are the 'new normal'.
- National average unleaded fell **2.9c to 234.5c/L**, still far above the 12-month average of 196.4c.
- Cuts should reach **capital cities in days** but **regional areas in weeks**.

Price inelastic demand: quantity barely responds to price, so supply shifts cause big price swings
Pass-through: how quickly cost changes reach retail prices

KEY NUMBERS

−16%
Brent crude, week to Friday

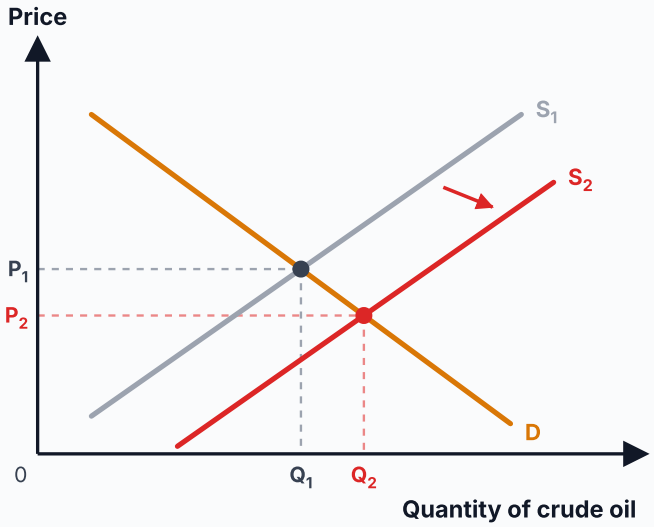
US$93
Brent per barrel, 10 Nov (prev. week US$111.9)

234.5c
National average unleaded per litre

196.4c
12-month average unleaded per litre

DIAGRAM

More supply, lower risk: crude prices fall



Rising OPEC output and a smaller 'war risk' premium shift crude supply from S_1 to S_2.

The price falls from P_1 to P_2 and quantity rises from Q_1 to Q_2.

Because short-run demand for oil is **price inelastic**, modest changes in supply produce large price swings, which explains the 16% weekly fall.

Exam angle: on an AD/AS diagram, cheaper oil shifts **SRAS to the right**: lower inflation and higher output, the reverse of a supply shock.

BAR CHART

Average unleaded price by capital city (A$ per litre)



Source: ABC News, 10 Nov 2026. Bars scaled to A$2.80.

SYLLABUS LINK

Topic 3 – inflation (fuel in the CPI) and external shocks. Topic 1 – global commodity markets. Topic 4 – competition in fuel retailing.

TRY THIS

Explain why petrol prices in regional areas may take longer to fall than prices in capital cities.
(3 MARKS)

ABC News – Global oil prices have dropped. Here's what that means for drivers: https://abc.net.au/news/2026-11-10/fuel-update-oil-prices-drop-midterms-iran-ukraine/107364786
Business Standard (Reuters) – Oil prices fall as Trump signals pause in military action against Iran: https://www.business-standard.com/amp/markets/commodities/oil-prices-fall-as-trump-signals-pause-in-military-action-against-iran-126111000067_1.html
ABC News – Markets live blog, 10 Nov 2026: https://www.abc.net.au/news/2026-11-10/asx-markets-business-live-news-november-10-2026/107363300

Diagrams are illustrative, not to scale